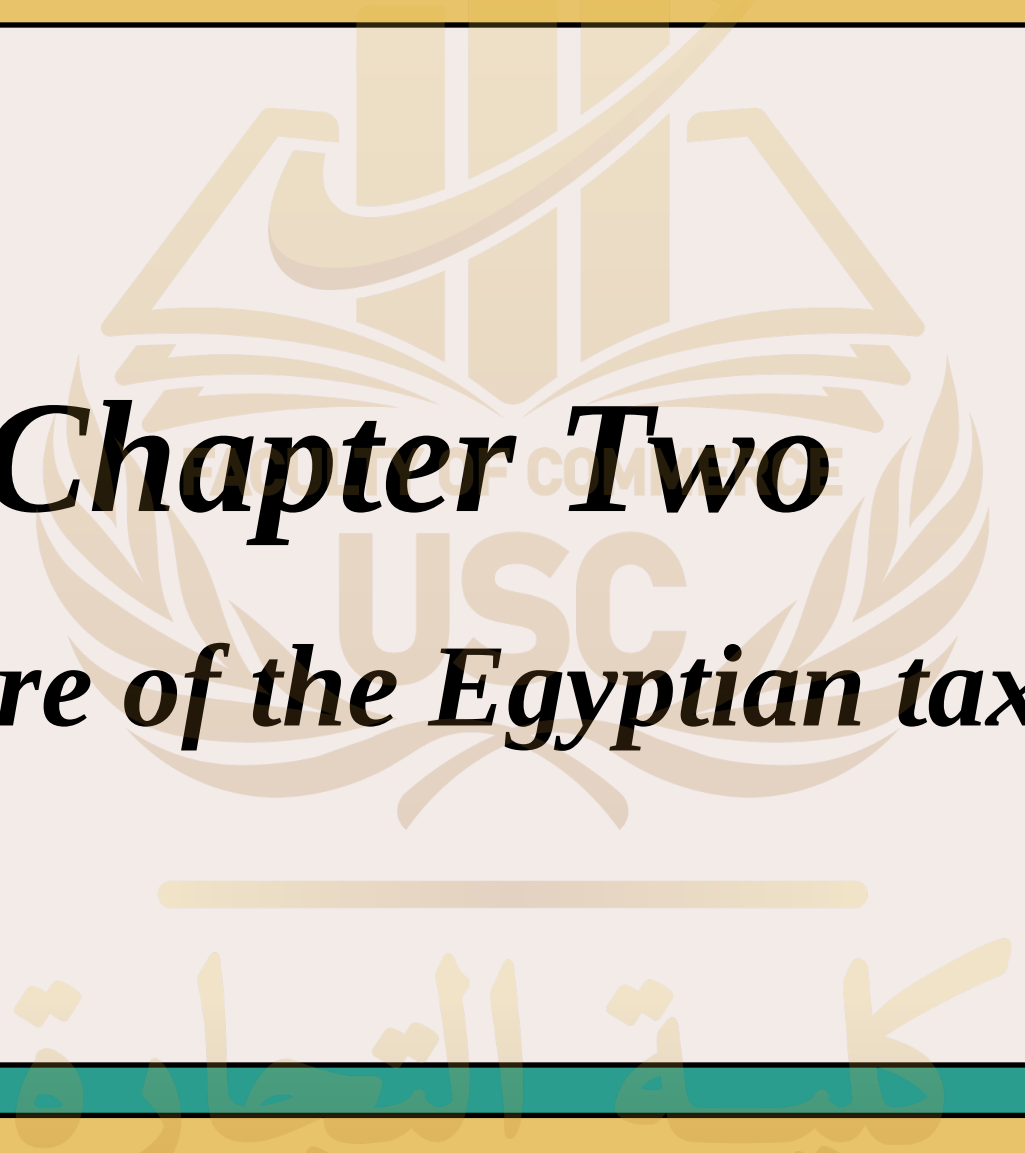




Chapter Two

The nature of the Egyptian tax system

Chapter topics:

- The topics of this chapter will be addressed in the following points:

First: The emergence and development of the tax system in Egypt.

Second: Income Tax Law No. 91 of 2005 and its most significant amendments:

- 1. The general structure of the law.**
- 2. The most crucial features of Law No. 91 of 2005.**
- 3. The most significant amendments to Law No. 91 of 2005 (Article 8).**

First: The emergence and development of the tax system in Egypt:

Law (14) for the year 1939:

- Law (14) for the year 1939 is considered the beginning of the emergence of the first tax system in Egypt. According to this law, all **movable capital revenues** were subject to tax concerning the revenue **whose source is capital**, as well as **commercial and industrial profits**, with the revenue **whose source is capital and work together**, as well as **labor earning**, as of the beginning of September 1938.

First: The emergence and development of the tax system in Egypt:

Law (99) for the year 1949:

- In 1949, Law No. (99) Issued imposing **a general tax** on revenue by **collecting the qualitative tax bases** and re-subjecting them to an **additional tax**, as it noted that such **qualitative** taxes do not contribute effectively to the state budget revenues.

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First: The emergence and development of the tax system in Egypt:

Law (157) for the year 1981:

- In 1981, Law No. (157) was issued to significantly alter the tax system in Egypt by **repealing Law No. (14) of 1939**, with all its amendments and **Law No. (99) of 1949**. In defining the tax's scope, this new law **was based on the qualitative tax system** at the time. In addition, it **combined qualitative and personal exemptions**. It also imposed **a general income tax**, consistent with Law No. 99 of 1949.

First: The emergence and development of the tax system in Egypt:

Law (187) for the year 1993:

- Another major alteration occurred in the tax legislation with the issuance of Law (187) of 1993 and **relying entirely on the unified tax system** on the income of **natural persons** and the tax on the **profits of corporations**. This law was enacted to amend the provisions of Law No. 157 of 1981, which governed the income tax.

First: The emergence and development of the tax system in Egypt:

Law (91) for the year 2005:

- Eventually, as part of a package of **economic policies and reforms**, the Income Tax Law No. 91 of 2005 was issued in 2005.
- It was considered a departure from the traditional concepts of the tax system in Egypt. This is in terms of **identifying the taxable persons, exemptions, tax rates, and practical procedures for assessing and collecting the tax considering the unified tax system.**

Second: Income Tax Law No. 91 of 2005 and its most significant amendments:

- **Law No. 91 of 2005 was issued to govern the three forms of income taxes in Egypt:**
 - **The tax on the income of natural persons.**
 - **The tax on the profits of legal persons.**
 - **The tax withheld at source.**

1- The general structure of the law

❖ In addition to the nine articles of issuance, Law No. 91 of 2005 contains 148 articles, which are organized as follows:

Book One: General Provisions, including articles from (1) to (5):

- ☐ Definitions of some terms.
- ☐ Elements of income generated in Egypt.
- ☐ Definition of the permanent and non-permanent establishment.
- ☐ Defining the tax period and its due date.

Book Two: Income Tax of Natural Persons and includes Articles (6) to (46).
It consists of **five chapters**.

Book Three: Tax on Profits of Legal Persons, includes Articles (47) to (55).
It consists of **two chapters**

1- The general structure of the law:

Book Four: Tax Withheld at Source, includes articles (56) to (58).

Book Five: Withholding, Collection and Advance Tax Payments, includes articles (59) to (73).

Book Six: Obligations of Taxpayers and Others. It includes articles (74) to (130).

Book Seven: Penalties, which includes articles (131) to (138).

Book Eight: Closing Provisions, which includes Articles (139) to (147).

2- The most crucial features of Law No. 91 of 2005:

❑ Unifying the concept of income and adjusting its tax treatment:

It no longer distinguishes between income generated by men and women, nor does it differentiate between different sources of income. Rather, all income sources are subject to a **uniform tax rate**.

❑ Determining the geographical scope of the income tax:

Every natural person who resides in Egypt **permanently** or has resided for more than **183** continuous or intermittent days within **twelve** months is subject to tax.

A legal person is also considered subject to tax If its **main or effective** managing headquarters is in Egypt; or If established according to Egyptian law, If its a corporation in which the state or any state-owned legal person holds more than **50%** of its capital.

2- The most crucial features of Law No. 91 of 2005:

☐ Simplifying and facilitating tax procedures:

Streamlining the assessment and collection processes, as well as litigation and dispute resolution procedures.

☐ Strengthening the relationship between the Tax Authority and the taxpayers:

Establishing confidence between the taxpayer and the tax administration **via the taxpayer's filing of the tax return** and its **recognition** based on the taxpayer's information, with random samples selected and examined.

☐ Taking tax capacity into account:

by reducing the tax burden on low-income taxpayers.

2- The most crucial features of Law No. 91 of 2005:

❑ Expanding the tax base:

- ✓ by granting **tax amnesty** to previous tax evaders and dealing with them based on the premise that the beginning of their practice of the activity is the beginning of filing their tax returns.
- ✓ **Moving partnerships from** the tax on the income of **natural** persons to the provisions of the tax on the profits of **legal** persons.
- ✓ Introducing the **system of advance payments** of taxes in addition to the **tax deduction system**.

2- The most crucial features of Law No. 91 of 2005:

❑ Eliminate discrimination in corporate tax treatment

It is currently subject to tax at the rate of 22.5% of net annual profits, with exception to the profits of Suez Canal Authority, the Egyptian General Petroleum Corporation and the Central Bank are subject to tax at the rate of 40%, and the profits of oil and gas exploration and production companies are subject to tax at the rate of 40.55%.

2- The most crucial features of Law No. 91 of 2005:

❑ Standardization of personal exemption

- Law No. 91 of 2005 unified the exemption, and it became **5,000** pounds annually for all sources of income for a **natural** person. It was amended by Law No. 82 of **2017** to become **7,200** pounds annually. Currently, this exemption amounts to 40,000 according to Law No. 7 of 2024.
- In addition to distinguishing the tax on salaries and the like with an additional personal exemption of 4,000 pounds. it has now been increased by Law No. 26 of 2020 to **9,000** pounds. Finally, it became 20,000 annually according to Law 7 of 2024 **regardless of marital status.**

3- The most significant amendments to Law No. 91 of 2005 (Article 8)

- ❖ This part focuses on the amendments to Income Tax Law No. 91 of 2005. In particular, Article (8) and Article (49) related to amending the tax brackets since it is one of the most changing and affecting items on the tax.**

Law 91 of 2005 by Law 51 of 2011:

	Under Law No. 91 of 2005	The amendment under Law 51 of 2011
Replaced by the texts of Article 8	The tax rates are as follows: <u>The first bracket:</u> - More than 5,000 EGP up to 20,000 EGP 10% <u>The second bracket:</u> - More than 20,000 EGP up to 40,000 EGP 15% <u>The third bracket:</u> - More than 40,000 EGP 20% The total annual net income is rounded to the nearest ten pounds less when calculating the tax.	The tax rates are as follows: <u>The first bracket:</u> - More than 5,000 EGP up to 20,000 EGP 10% <u>The second bracket:</u> - More than 20,000 EGP up to 40,000 EGP 15% <u>The third bracket:</u> - More than 40,000 and up to 10,000,000 pounds (ten million) 20% <u>Fourth bracket:</u> - More than 10,000,000 (ten million pounds) ---- 25% The total annual net income is rounded to the nearest ten pounds less when calculating the tax.

Law No. 91 of 2005 amended by Law No. 101 of 2012

Under Law No. 91 of 2005

Article (7)

The tax is due on more than five thousand pounds of the total net income achieved by the resident taxpayer during the year.

Article (8): According to the latest amendment to Law No. 51 of 2011:

The tax rates are as follows:

The first bracket:

- More than 5,000 EGP up to 20,000 EGP 10%

The second bracket:

- More than 20,000 EGP up to 40,000 EGP 15%

The third bracket:

- More than 40,000 and up to 10,000,000 pounds (ten million) 20%

The amendment under Law 101 of 2012

Article (8): Article (7) is repealed, and without prejudice to Clause (1) of Article 13 of the law, the tax brackets and rates are as follows:

The first bracket:

- 5000 pounds per year exempted.

The second bracket:

- More than 5,000 EGP up to 30,000 EGP 10%

The third bracket:

- More than 30,000 EGP up to 45,000 EGP 15%

The Fourth bracket:

- More than 45,000 EGP up to 1,000,000 EGP Million EGP 20%

Under Law No. 91 of 2005

The amendment under Law 101 of 2012

Fourth bracket:

- More than 10,000,000 (ten million pounds) 25%

The total annual net income is rounded to the nearest ten pounds less when calculating the tax.

This article relates to the tax rate on the profits of legal persons and stipulates:

- The tax base is rounded to the nearest ten pounds less and is subject to tax at 20% of annual net profits.
- **Except for** the price mentioned in the previous paragraph, the profits of the Suez Canal Authority, the Egyptian General Petroleum Corporation, and the Central Bank are subject to tax at the rate of 40%, and the profits of oil and gas exploration and production companies are also subject to tax at the rate of 40.55%.

The Fifth bracket:

- More than 1,000,000 pounds Million pounds 25%.

The tax base is rounded to the nearest ten pounds less and is subject to tax at 25% of annual net profits.

Except for the price mentioned in the previous paragraph, the profits of the Suez Canal Authority, the Egyptian General Petroleum Corporation, and the Central Bank are subject to tax at 40%. The profits of oil and gas exploration and production companies are also subject to tax at the rate of 55.40%.

Law No. 91 of 2005 amended by Law No. 11 of 2013

Under Law No. 91 of 2005

Article (8): According to the latest amendment to Law No. 101 of 2012:

The tax base and rates are as follows:

The first bracket:

- 5000 pounds per year exempted.

The second bracket:

- More than 5,000 EGP up to 30,000 EGP 10%

The third bracket:

- More than 30,000 EGP up to 45,000 EGP 15%

The Fourth bracket:

- More than 45,000 EGP up to 1,000,000 EGP Million EGP 20%

The Fifth bracket:

- More than 1,000,000 pounds Million pounds 25%.

The amendment under Law No. 11 of 2013

Article (8): the tax rates are as follows:

The first bracket:

- Up to 5,000 pounds per year are exempt from tax

The second bracket:

- More than 5,000 pounds up to 30,000 pounds (10%).

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%).

The Fourth bracket:

- More than 45,000 pounds up to 250,000 pounds (20%).

The Fifth bracket:

- More than 250,000 (25%).

The total annual net income is rounded to the nearest ten pounds less when calculating the tax

Law No. 91 of 2005 amended by Law No. 96 of 2015

Under Law No. 91 of 2005

Article (8): According to the latest amendment to Law No. 11 of 2013:

The tax base and rates are as follows:

The first bracket:

- Up to 5,000 pounds per year exempted.

The second bracket:

- More than 5,000 pounds up to 30,000 pounds (10%).

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%).

The Fourth bracket:

- More than 45,000 pounds up to 250,000 pounds (20%).

The Fifth bracket:

- More than 250,000 (25%).

The total annual net income is rounded to the nearest ten pounds less when calculating the tax

The amendment under Law No. 96 of 2015

Article (8): the tax rates are as follows:

The first bracket:

- Up to 6,500 pounds per year exempted

The second bracket:

- More than 6,500 pounds up to 30,000 pounds (10%)

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%)

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%)

The Fifth bracket:

- More than 200,000 EGP (22%)

The total annual net income is rounded to the nearest ten pounds less when calculating the tax

Law No. 91 of 2005 amended by Law No. 96 of 2015

Under Law No. 91 of 2005

Article (49) first paragraph:

The tax base shall be rounded to the nearest ten pounds less and be subject to tax at the rate of (22.5%) of the annual net profits.

The amendment under Law No. 96 of 2015

Article (49) According to Law 101 of 2012:

The tax base is rounded to the nearest ten pounds less and is subject to tax at 25% of annual net profits.

As an exception to the price mentioned in the previous paragraph, the profits of the Suez Canal Authority, the Egyptian General Petroleum Corporation, and the Central Bank are subject to tax at 40%. The profits of oil and gas exploration and production companies are also subject to tax at the rate of (55.40%).

Law No. 91 of 2005 amended by Law No. 82 of 2017

Under Law No. 91 of 2005

Article (8): According to the latest amendment to Law No. 96 of 2015:

The tax base and rates are as follows:

The first bracket:

- Up to 6,500 pounds per year exempted

The second bracket:

- More than 6,500 pounds up to 30,000 pounds (10%)

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%)

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%)

The Fifth bracket:

- More than 200,000 EGP (22%)

The total annual net income is rounded to the nearest ten pounds less when calculating the tax

The amendment under Law No. 82 of 2017

the tax rates are as follows:

The first bracket:

- Up to 7,200 pounds per year exempted.

The second bracket:

- More than 7,200 pounds up to 30,000 pounds (10%).

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%).

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%).

The Fifth bracket:

- More than 200,000 EGP (22.5%).

Law No. 91 of 2005 amended by Law No. 82 of 2017

Under Law No. 91 of 2005

Article (8): According to the latest amendment to Law No. 96 of 2015:

The tax base and rates are as follows:

The first bracket:

- Up to 6,500 pounds per year exempted

The second bracket:

- More than 6,500 pounds up to 30,000 pounds (10%)

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%)

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%)

The Fifth bracket:

- More than 200,000 EGP (22%)

The total annual net income is rounded to the nearest ten pounds less when calculating the tax

The amendment under Law No. 82 of 2017

Those subject to the following three brackets are granted a deduction from the tax due on them as follows:

- Second bracket 80%
- Third bracket 40%
- fourth bracket 5%

The discount referred to in the previous paragraph shall be granted for one time according to the highest bracket in which the taxpayer falls, and this discount may not be granted to those subject to the fifth bracket.

The total annual net income is rounded to the nearest ten pounds less when calculating the tax.

The Executive Regulations shall specify the method of calculating the tax

Law No. 91 of 2005 amended by Law No. 97 of 2018

Under Law No. 91 of 2005

Article (8): According to the latest amendment to Law No. 82 of 2017:

The tax base and rates are as follows:

The first bracket:

- Up to 7,200 pounds per year exempted

The second bracket:

- More than 7,200 pounds up to 30,000 pounds (10%).

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%).

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%).

The Fifth bracket:

- More than 200,000 EGP (22.5%).

The amendment under Law No. 97 of 2018

the tax rates are as follows:

The first bracket:

- Up to 8,000 pounds per year exempted.

The second bracket:

- More than 8,000 EGP up to 30,000 EGP (10%).

The third bracket:

- More than 30,000 pounds up to 45,000 pounds (15%).

The Fourth bracket:

- More than 45,000 EGP up to 200,000 EGP (20%).

The Fifth bracket:

More than 200,000 EGP (٢٢.5%)

Law No. 91 of 2005 amended by Law No. 97 of 2018

Under Law No. 91 of 2005

Those subject to the following three brackets are granted a deduction from the tax due on them as follows:

- Second bracket 80%
- Third bracket 40%
- fourth bracket 5%

The discount referred to in the previous paragraph shall be granted for one time according to the highest bracket in which the taxpayer falls, and this discount may not be granted to those subject to the fifth bracket.

The total annual net income is rounded to the nearest ten pounds less when calculating the tax.

The Executive Regulations shall specify the method of calculating the tax

The amendment under Law No. 97 of 2018

Those subject to the following three brackets are granted a deduction from the tax due on them as follows:

- second tranche 85%
- The third tranche 45%
- Fourth tranche 7.5%

The discount referred to in the previous paragraph shall be granted for one time according to the highest bracket in which the taxpayer falls, and this discount may not be granted to those subject to the fifth bracket.

The total annual net income is rounded to the nearest ten pounds less when calculating the tax.

The Executive Regulations shall specify the method of calculating the tax.

Law No. 91 of 2005 amended by Law No. 26 of 2020

The amendment under Law No. 26 of 2020

the tax rates are as follows:

Therefore, the tax deduction system was abolished, and the limits of the brackets expanded as follows

The first bracket:

- Up to 15,000 pounds per year are exempt from tax.

The second bracket:

- More than 15,000 EGP up to 30,000 EGP (2.5%).

The third bracket:

- More than 30,000 EGP up to 45,000 EGP (10%).

The Fourth bracket:

- More than 45,000 EGP up to 60,000 EGP (15%).

The Fifth bracket:

- More than 60,000 EGP up to 200,000 EGP (20%)

The amendment under Law No. 26 of 2020

The Sixth bracket:

- More than 200,000 EGP up to 400,000 EGP (22.5%).

The seventh bracket:

- More than 400,000 pounds (25%).

To ensure that tax revenues are not wasted, a new bracket has been created for those with incomes of more than 400,000 pounds annually.

- The draft law established additional rules to ensure that support is directed to those who deserve it and stipulates that:
 - If the annual net income exceeds 600,000 pounds to 700,000 pounds, the taxpayer is not entitled to benefit from the exempted bracket.
 - If the annual net income exceeds 700,000 to 800,000 pounds, the taxpayer is not entitled to benefit from the 2.5% social bracket.
 - If the annual net income exceeds 800,000 pounds to 900,000 pounds, the taxpayer is not entitled to benefit from the 10% bracket.
 - If the annual net income exceeds 900,000 pounds to 1,000,000 pounds, the taxpayer is not entitled to benefit from the 15% bracket.
 - If the annual net income exceeds 1,000,000 pounds, the taxpayer is not entitled to benefit from the 20% bracket.

Law No. 91 of 2005 amended by Law No. 30 of 2023

The amendment under Law No. 30 of 2023

the tax rates are as follows:

Therefore, the tax deduction system was abolished, and the limits of the brackets expanded as follows

The first bracket:

- Up to 21,000 pounds per year are exempt from tax.

The second bracket:

- More than 21,000 EGP up to 30,000 EGP (2.5%).

The third bracket:

- More than 30,000 EGP up to 45,000 EGP (10%).

The Fourth bracket:

- More than 45,000 EGP up to 60,000 EGP (15%).

The Fifth bracket:

- More than 60,000 EGP up to 200,000 EGP (20%)

The amendment under Law No. 30 of 2023

The Sixth bracket:

- More than 200,000 EGP up to 400,000 EGP (22.5%).

The seventh bracket:

- More than 400,000 pounds (25%).

In addition to the above tax brackets imposed on net income that does not exceed 600,000 EGP, the tax legislator stipulated that:

- If the annual net income exceeds 600,000 pounds to 700,000 pounds, the taxpayer is not entitled to benefit from the exempted bracket.
- If the annual net income exceeds 700,000 to 800,000 pounds, the taxpayer is not entitled to benefit from the 2.5% social bracket.
- If the annual net income exceeds 800,000 pounds to 900,000 pounds, the taxpayer is not entitled to benefit from the 10% bracket.
- If the annual net income exceeds 900,000 pounds to 1,200,000 pounds, the taxpayer is not entitled to benefit from the 15% bracket.
- If the annual net income exceeds 1,200,000 pounds, the taxpayer is not entitled to benefit from the 20%, 22.5% bracket.
- Net income ranging from 1 pound to 1,200,000 pounds is taxed at a rate of 25%, while any net income over that amount is taxed at a rate of 27.5%.

Law No. 91 of 2005 amended by Law No. 175 of 2023

The amendment under Law No. 175 of 2023

the tax rates are as follows:

Therefore, the tax deduction system was abolished, and the limits of the brackets expanded as follows

The first bracket:

- Up to 30,000 pounds per year are exempt from tax.

The second bracket:

More than 30,000 EGP up to 45,000 EGP (10%).

The third bracket:

More than 45,000 EGP up to 60,000 EGP (15%).

The Fourth bracket:

More than 60,000 EGP up to 200,000 EGP (20%)

The Fifth bracket:

More than 200,000 EGP up to 400,000 EGP (22.5%).

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The amendment under Law No. 175 of 2023

The Sixth bracket:

More than 400,000 pounds (25%).

In addition to the above tax brackets imposed on net income that does not exceed 600,000 EGP, the tax legislator stipulated that:

- If the annual net income exceeds 600,000 pounds to 700,000 pounds, the taxpayer is not entitled to benefit from the exempted bracket.
- If the annual net income exceeds 700,000 to 800,000 pounds, the taxpayer is not entitled to benefit from the 2.5% social bracket.
- If the annual net income exceeds 800,000 pounds to 900,000 pounds, the taxpayer is not entitled to benefit from the 10% bracket.
- If the annual net income exceeds 900,000 pounds to 1,200,000 pounds, the taxpayer is not entitled to benefit from the 15% bracket.
- If the annual net income exceeds 1,200,000 pounds, the taxpayer is not entitled to benefit from the 20%, 22.5% bracket.
- Net income ranging from 1 pound to 1,200,000 pounds is taxed at a rate of 25%, while any net income over that amount is taxed at a rate of 27.5%.

Law No. 91 of 2005 amended by Law No. 7 of 2024

The amendment under Law No. 7 of 2024

the tax rates are as follows:

Therefore, the tax deduction system was abolished, and the limits of the brackets expanded as follows

The first bracket:

- Up to 40,000 pounds per year are exempt from tax.

The second bracket:

More than 40,000 EGP up to 55,000 EGP (10%).

The third bracket:

More than 55,000 EGP up to 70,000 EGP (15%).

The Fourth bracket:

More than 70,000 EGP up to 200,000 EGP (20%)

The Fifth bracket:

More than 200,000 EGP up to 400,000 EGP (22.5%).

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The amendment under Law No. 7 of 2024

The Sixth bracket:

More than 400,000 pounds (25%).

In addition to the above tax brackets imposed on net income that does not exceed 600,000 EGP, the tax legislator stipulated that:

- If the annual net income exceeds 600,000 pounds to 700,000 pounds, the taxpayer is not entitled to benefit from the exempted bracket.
- If the annual net income exceeds 700,000 to 800,000 pounds, the taxpayer is not entitled to benefit from the 10% bracket.
- If the annual net income exceeds 800,000 pounds to 900,000 pounds, the taxpayer is not entitled to benefit from the 15% bracket.
- If the annual net income exceeds 900,000 pounds to 1,200,000 pounds, the taxpayer is not entitled to benefit from the 20% bracket.
- If the annual net income exceeds 1,200,000 pounds, the taxpayer is not entitled to benefit from the 22.5% bracket. Net income ranging from 1 pound to 1,200,000 pounds is taxed at a rate of 25%, while any net income over that amount is taxed at a rate of 27.5%.



Thank you

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